event of the last part of the 20th century" and its effect was devastating: it contributed to the destruction of the world's system of fixed exchange rates (known as *Bretton Woods* for the town in New Hampshire where the system was agreed), it bankrupted much of the savings and loan industry, and it was an experience shared by all developed countries to greater or lesser degrees.

The United States had high inflation after World War II, and a bout of inflation during the Korean War in the early 1950s, but in both cases policymakers quickly brought it under control. In fact, in 1954 and 1955, inflation was actually negative. Thus the Great Inflation erupted in the mid-1960s from a time of stable and low inflation. Why did rising prices get so out of hand in the 1960s and 1970s, and how did policymakers bring inflation under control again in the 1980s?[2]

Three things caused inflation to get out of control.

First, policymakers used the wrong models. In the 1960s, economists believed in the Phillips (1958) curve, which plotted a tradeoff between unemployment and inflation. Economists believed unemployment could be reduced by raising inflation, but over time it became clear that there was no such tradeoff. During the 1960s and 1970s, *both* unemployment and inflation rose. The *Rational Expectations* revolution in economics in the 1970s spearheaded by Friedman and Lucas (who won Nobel Prizes in 1976 and 1995, respectively) explained that the Phillips curve was unstable and could not be effectively exploited by policymakers.

Second, economists were divided on how to respond to higher inflation. They recognized it was a problem, but some thought the Fed was not responsible. *Cost push inflation*, which arose in the price of natural resources such as oil, was thought to be outside the Fed's control, whereas *demand pull inflation*, caused by an overheating economy, was thought to be under the Fed's control. Most economists believed the era's underlying inflation was of the cost push variety. Even some economists who thought the Fed could control inflation did not recommend that the Fed embark on disinflation because of the large *sacrifice ratios*—the reductions in GDP required to bring down inflation—and advocated instead that society learn to live with high inflation because of the unacceptably high costs of unemployment. Unfortunately, high unemployment happened anyway in the late 1970s hand in hand with inflation (*stagflation*), and unemployment would have been lower had the inflation problem been tackled earlier.

The third reason was the intense political pressure on the Fed, which was not as independent as it is today. "Inflation continued," Meltzer writes, "because of the unwillingness of policymakers to persist in a political and socially costly policy of disinflation. During the 1960s and after, there was little political support for an anti-inflation policy in Congress and none in the administration." This last point is especially relevant: if there is little political consensus on how to end inflation,

[2] In particular see DeLong (1997), Sargent (1999), Meltzer (2005), and Nelson (2005).